

Medical Necessity Review Procedure

Document ID: HLT-PROC-005 **Effective Date:** June 1, 2025 **Version:** v2.0
Authority Status: Approved **Department:** Clinical Operations

1. Purpose

This procedure defines the step-by-step process for conducting medical necessity reviews for claims flagged for clinical review.

2. Scope

Applies to all claims with:

- **review_flag** = 'High Cost'
- **review_flag** = 'Requires Prior Auth'
- Claims denied and appealed
- Claims flagged by FWA algorithm

3. Definitions

Term	Definition
Medical Necessity	Services that are clinically appropriate, provided in accordance with generally accepted standards of medical practice, and not primarily for convenience.
Clinical Reviewer	Licensed nurse or physician conducting review.
Decision Logic	Whether service meets established criteria.

4. Review Process

Step 1: Claim Identification

- Automated system flags claims for review.
- Claims routed to Clinical Review queue.

Step 2: Initial Assessment

- Review claim details and documentation.
- Verify member eligibility on service date.
- Confirm prior authorization (if required).

Step 3: Clinical Criteria Evaluation

- Compare claim against HLT-CLIN-009 criteria.
- **Medical Condition:** Diagnosis and severity.
- **Service Appropriateness:** Procedure indicated for condition.
- **Service Necessity:** Alternative less intensive options considered.
- **Service Frequency:** Meets appropriate frequency guidelines.

Step 4: Decision Making

Decision	Criteria	Action
Approved	All criteria met	Payment issued
Denied	Criteria not met	Denial notice with reason
Escalated	Case complex/ambiguous	Second-level physician review

Step 5: Documentation

- Document clinical rationale.
- Record decision and supporting evidence.
- Update claim record.

5. Escalation Criteria

Escalate to physician reviewer when:

- Case complexity requires clinical judgment.
- Policy ambiguity exists.
- Provider relationship at risk.
- Potential FWA identified.
- Member appeal filed.

6. Quality Assurance

- 10% random audit of reviews.
- Inter-rater reliability assessments.
- Quarterly review of denial patterns.